



National  
Qualifications  
2024

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# **2024 Accounting**

## **Higher**

### **Question Paper Finalised Marking Instructions**

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## General marking principles for Higher Accounting

*Always apply these general principles. Use them in conjunction with the specific marking instructions, which identify the key features required in candidates' responses.*

- (a) Always use positive marking. This means candidates accumulate marks for the demonstration of relevant skills, knowledge and understanding; marks are not deducted for errors or omissions.
- (b) If a candidate response does not seem to be covered by either the principles or specific marking instructions, and you are uncertain how to assess it, you must seek guidance from your team leader.
- (c) Always follow through consequentiality subsequent to a calculative error and give credit for any errors in subsequent calculations or working.
- (d) Mark scored out or erased working which has not been replaced, where still legible. However, if the scored out or erased working has been replaced, mark only the work which has not been scored out.
- (e) For **describe** questions, candidates must make a number of relevant factual points, which may be characteristics and/or features, as appropriate to the question asked. These points may relate to a concept, process or situation. Candidates may provide a number of straightforward points or a smaller number of developed points, or a combination of these.

Up to the total mark allocation for this question

- award **1 mark** for each relevant factual point
  - award **1 mark** for any further development of a relevant point, including exemplification when appropriate
- (f) For **identify** questions, candidates must name a number of relevant items or facts. These must relate to the context of the question and do not need to be in any particular order.

Up to the total mark allocation for this question

- award **1 mark** for each relevant identification
- (g) For **outline** questions, candidates must make a number of brief statements appropriate to the question asked. These may include facts, features or characteristics

Up to the total mark allocation for this question

- award **1 mark** for each accurate statement

|        |                                                 |        |  |        |           |         |          |          |    |                                                                                                                      |   |  |  |  |  |
|--------|-------------------------------------------------|--------|--|--------|-----------|---------|----------|----------|----|----------------------------------------------------------------------------------------------------------------------|---|--|--|--|--|
| 1. (a) | Production Budget for July to December Year 5 ✓ |        |  |        |           |         |          |          |    | MAX MARK                                                                                                             | 5 |  |  |  |  |
|        |                                                 | July   |  | August | September | October | November | December |    | ADDITIONAL GUIDANCE                                                                                                  |   |  |  |  |  |
|        | Cash Sales                                      | 2,600  |  | 2,800  | 3,000     | 3,200   | 3,400    | 3,600    | 1  | 1 mark for heading and Cash and Credit Sales rows                                                                    |   |  |  |  |  |
|        | Credit Sales                                    | 13,000 |  | 14,800 | 16,600    | 11,200  | 9,600    | 15,000   |    |                                                                                                                      |   |  |  |  |  |
|        | Sales                                           | 15,600 |  | 17,600 | 19,600    | 14,400  | 13,000   | 18,600   |    |                                                                                                                      |   |  |  |  |  |
|        | Less Opening Inventory                          | 520 *  |  | 560    | 600       | 640     | 680      | 700      | 1  | 1 mark for both highlighted rows                                                                                     |   |  |  |  |  |
|        |                                                 | 15,080 |  | 17,040 | 19,000    | 13,760  | 12,320   | 17,900   |    |                                                                                                                      |   |  |  |  |  |
|        | Add Closing Inventory                           | 560    |  | 600    | 640       | 680     | 700      | 700      | *1 | 1 mark for correct July Opening and December Closing Inventory                                                       |   |  |  |  |  |
|        | Production                                      | 15,640 |  | 17,640 | 19,640    | 14,440  | 13,020   | 18,600   | 2  | 2 marks for <u>deducting</u> Opening Inventory AND <u>adding</u> Closing Inventory                                   |   |  |  |  |  |
|        |                                                 |        |  |        |           |         |          |          |    |                                                                                                                      |   |  |  |  |  |
|        |                                                 |        |  |        |           |         |          |          |    | If only Opening or Closing Inventory included and treated correctly, award 1 mark for consequential Production units |   |  |  |  |  |

|        |                                                                  |           |  |           |  |           |          |                                                                          |  |  |  |  |
|--------|------------------------------------------------------------------|-----------|--|-----------|--|-----------|----------|--------------------------------------------------------------------------|--|--|--|--|
| 1. (b) | Cash Budget for 3 months October to December ✓                   |           |  |           |  |           | MAX MARK | 32                                                                       |  |  |  |  |
|        |                                                                  | October   |  | November  |  | December  |          | ADDITIONAL GUIDANCE                                                      |  |  |  |  |
|        |                                                                  | £         |  | £         |  | £         |          |                                                                          |  |  |  |  |
|        | Opening Balance ✓                                                | 60,000 ✓  |  | 570,680   |  | 957,630   |          |                                                                          |  |  |  |  |
|        | Add Receipts ✓                                                   |           |  |           |  |           |          |                                                                          |  |  |  |  |
|        | Cash sales                                                       | 160,000 1 |  | 170,000 ✓ |  | 180,000 1 |          | 1 mark for October, 1 mark for November and December                     |  |  |  |  |
|        | Credit sales (1 month)                                           | 597,600 1 |  | 403,200 1 |  | 345,600 1 |          |                                                                          |  |  |  |  |
|        | Credit sales (2 months)                                          | 140,600 1 |  | 157,700 1 |  | 106,400 1 |          | If bad debts are shown DNA credit sales 2 months                         |  |  |  |  |
|        | Share issue                                                      | 50,000 1  |  | 0         |  | 0         |          |                                                                          |  |  |  |  |
|        | Share premium                                                    | 25,000 1  |  | 0         |  | 0         |          |                                                                          |  |  |  |  |
|        | Sale of Machinery                                                |           |  |           |  | 29,000 2  |          | All or nothing                                                           |  |  |  |  |
|        | Total Receipts                                                   | 973,200   |  | 730,900   |  | 661,000   |          |                                                                          |  |  |  |  |
|        | Less Payments ✓                                                  |           |  |           |  |           |          |                                                                          |  |  |  |  |
|        | Materials (25%)                                                  | 36,100 1  |  | 32,550 1  |  | 46,500 1  |          |                                                                          |  |  |  |  |
|        | Materials (75%)                                                  | 147,300 1 |  | 108,300 1 |  | 97,650 1  |          |                                                                          |  |  |  |  |
|        | Labour                                                           | 86,640 1  |  | 78,120 1  |  | 111,600 1 |          |                                                                          |  |  |  |  |
|        | Bonus                                                            | 11,280 1  |  | 880 1     |  | 0         |          |                                                                          |  |  |  |  |
|        | Variable costs                                                   | 72,200 1  |  | 65,100 1  |  | 93,000 1  |          |                                                                          |  |  |  |  |
|        | Fixed costs                                                      | 59,000    |  | 59,000    |  | 59,000 1  |          |                                                                          |  |  |  |  |
|        | Machinery deposit                                                | 50,000 1  |  | 0         |  | 0         |          | DNA if Purchase Cost of Machinery of £200,000 is also shown              |  |  |  |  |
|        | Machinery instalment                                             | 0         |  | 0         |  | 30,000 1  |          |                                                                          |  |  |  |  |
|        | Dividend (5%)                                                    | 0         |  | 0         |  | 2,500 1   |          | If £75,000 for total dividend, award 1 mark for £50,000 dividend implied |  |  |  |  |
|        | Dividend (10%)                                                   | 0         |  | 0         |  | 50,000 1  |          |                                                                          |  |  |  |  |
|        | Total Payments                                                   | 462,520   |  | 343,950   |  | 490,250   |          |                                                                          |  |  |  |  |
|        | Closing Balance ✓                                                | 570,680   |  | 957,630   |  | 1,128,380 |          |                                                                          |  |  |  |  |
|        | Headings, labels, arithmetic, Opening and Closing Balances shown |           |  |           |  | (1)       |          |                                                                          |  |  |  |  |

**1. (c) Other than preparing budgets, describe the role of a management accountant.**

Provides management with information to enable decision-making.

Responsible for the collection, processing and classification of costs.

Supplies data to make the most efficient use of limiting factors.

Accountable for the planning and control of production costs.

Manages cost accounting systems and determines which system is most appropriate.

Prepares break-even statements.

Prepares overhead analysis statements.

**MAX MARK 3**

**ADDITIONAL GUIDANCE**

1 mark per valid point (max 3)

|         |                                                                          |      |  |      |   |      |                     |                                                                    |  |  |
|---------|--------------------------------------------------------------------------|------|--|------|---|------|---------------------|--------------------------------------------------------------------|--|--|
| 2.A (a) | Income Statement of Kinnaird plc for the year ended 31 December Year 3 ✓ |      |  |      |   |      | MAX MARKS           | 4                                                                  |  |  |
|         |                                                                          | £000 |  | £000 |   | £000 | ADDITIONAL GUIDANCE |                                                                    |  |  |
|         | Profit for the Year after tax                                            |      |  |      |   | 75   | ✓                   | 1 mark for Profit for the Year after tax and Unappropriated Profit |  |  |
|         | add Unappropriated Profit                                                |      |  |      |   | 34   | 1                   |                                                                    |  |  |
|         |                                                                          |      |  |      |   | 109  |                     |                                                                    |  |  |
|         | less                                                                     |      |  |      |   |      |                     |                                                                    |  |  |
|         | Ordinary Dividend Paid                                                   |      |  | 54   | 1 |      |                     |                                                                    |  |  |
|         | Preference Dividend Paid (£200,000 x 6%)                                 |      |  | 12   | 1 |      |                     |                                                                    |  |  |
|         | Goodwill Written Down                                                    |      |  | 10   | 1 | 76   |                     |                                                                    |  |  |
|         | Unappropriated Profit ✓                                                  |      |  |      |   | 33   |                     |                                                                    |  |  |
|         |                                                                          |      |  |      |   |      |                     |                                                                    |  |  |

|         |                                                                            |         |   |          |                |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|---------|----------------------------------------------------------------------------|---------|---|----------|----------------|---------------------|--------------------------------------------------------------------------------------------------|--|--|--|--|--|--|--|--|--|--|
| 2.A (b) | Statement of Financial Position of Kinnaird plc as at 31 December Year 3 P |         |   |          |                | MAX MARKS           | 17                                                                                               |  |  |  |  |  |  |  |  |  |  |
|         |                                                                            | At Cost |   | Agg Depn | Net Book Value | ADDITIONAL GUIDANCE |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         |                                                                            | £000    |   | £000     | £000           |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | <b>Non-Current Assets</b> ✓                                                |         |   |          |                |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | Property                                                                   | 300     |   | -20      | 320            | 1                   | All 3 figures must be shown for each Non-Current Asset to gain marks                             |  |  |  |  |  |  |  |  |  |  |
|         | Office Equipment                                                           | 120     |   | 24       | 96             | 1                   |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | Motor Vehicles                                                             | 250     |   | 40       | 210            | 1                   |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         |                                                                            | 670     |   | 44       | 626            |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | Goodwill (40-10)                                                           |         |   |          | 30             | 1                   | Goodwill must be shown below Non-Current Assets to gain mark                                     |  |  |  |  |  |  |  |  |  |  |
|         |                                                                            |         |   |          | 656            |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | <b>Current Assets</b> ✓                                                    |         |   |          |                |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | Closing Inventory                                                          |         |   | 42       | ✓              |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | Trade Receivables                                                          | 60      |   |          |                |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | less Provision for Doubtful Debts                                          | 6       |   | 54       | 1              |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | Cash and Cash Equivalents (125-12)                                         |         |   | 113      | 1              |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | Rent Receivable                                                            |         |   | 4        | 1              |                     | 1 mark for Closing Inventory and Rent Receivable                                                 |  |  |  |  |  |  |  |  |  |  |
|         |                                                                            |         |   | 213      |                |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | <b>Current Liabilities</b> ✓                                               |         |   |          |                |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | Trade Payables                                                             | 43      |   |          |                |                     | 3 marks for all Current Liabilities correct                                                      |  |  |  |  |  |  |  |  |  |  |
|         | Administration Expenses Payable                                            | 3       |   |          |                |                     | 2 marks for 3 correct                                                                            |  |  |  |  |  |  |  |  |  |  |
|         | VAT                                                                        | 65      |   |          |                |                     | 1 mark for 2 correct                                                                             |  |  |  |  |  |  |  |  |  |  |
|         | Corporation Tax Payable                                                    | 25      | 3 | 136      |                |                     | 0 marks if one or none correct                                                                   |  |  |  |  |  |  |  |  |  |  |
|         | WORKING EQUITY                                                             |         |   |          | 77             |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | NET ASSETS EMPLOYED                                                        |         |   |          | 733            |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         |                                                                            |         |   |          |                |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | <b>Less Non-Current Liabilities</b> ✓                                      |         |   |          |                |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | 10% Debentures                                                             |         |   |          | 50             | 1                   |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         |                                                                            |         |   |          | 683            |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | <b>Equity</b>                                                              |         |   |          |                |                     | Value or number of shares missing only award 1 mark                                              |  |  |  |  |  |  |  |  |  |  |
|         | 408,000 Ordinary Shares £1 each                                            |         |   | 408      | ✓              |                     | Accept Bonus Shares as separate entry but <u>must be directly</u> above or below ordinary shares |  |  |  |  |  |  |  |  |  |  |
|         | 200,000 6% Preference Shares £1 each                                       |         |   | 200      | 2              |                     | If Ordinary Shares 400,000 and Preference Shares 200,000, award 1 mark max                       |  |  |  |  |  |  |  |  |  |  |
|         |                                                                            |         |   |          |                |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | <b>Reserves</b>                                                            |         |   |          |                |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | Unappropriated Profit                                                      |         |   | 33       | ✓              |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | Revaluation Reserve                                                        |         |   | 20       | 1              |                     | 1 mark for Unappropriated Profit and Revaluation Reserve                                         |  |  |  |  |  |  |  |  |  |  |
|         | Share Premium Reserve (60-30-8)                                            |         |   | 22       | 2              |                     | If Share Premium is 30, 38, 52 or 82 award 1 mark                                                |  |  |  |  |  |  |  |  |  |  |
|         |                                                                            |         |   |          | 683            |                     | If Preliminary Expenses are entered award 1 mark max for Share Premium                           |  |  |  |  |  |  |  |  |  |  |
|         |                                                                            |         |   |          |                |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |
|         | Headings, labels, arithmetic and no extraneous across both statements (1)  |         |   |          |                |                     |                                                                                                  |  |  |  |  |  |  |  |  |  |  |

|           |                                                                |                                         |           |         |          |    |           |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|-----------|----------------------------------------------------------------|-----------------------------------------|-----------|---------|----------|----|-----------|---|--------------------------------------------------------------------------------------------------------------------|--|--|--|--|--|--|--|--|--|
| 2.B (a)   | Current Account Heslop ✓                                       |                                         |           |         |          |    | MAX MARKS | 7 |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           | Date                                                           | Details                                 | Dr        | Cr      | Balance  | ✓  |           |   | ADDITIONAL GUIDANCE                                                                                                |  |  |  |  |  |  |  |  |  |
|           | 01-Jan                                                         | Opening Balance                         |           |         | 13,500   | Dr | 1         |   | 1 mark for headings and Opening Balance                                                                            |  |  |  |  |  |  |  |  |  |
|           | 31-Dec                                                         | Share of Profit                         |           | 32,000  | 18,500   | Cr | 1         |   | If running balance incorrect, do not award mark for headings and Opening Balance or next available mark            |  |  |  |  |  |  |  |  |  |
|           | 31-Dec                                                         | Interest on Equity                      |           | 8,000   | 26,500   | Cr | 1         |   | If not shown as a ledger account, do not award headings and Opening Balance mark or next available mark            |  |  |  |  |  |  |  |  |  |
|           | 31-Dec                                                         | Salary                                  |           | 22,000  | 48,500   | Cr | 1         |   | If Current Account shown as <b>complete</b> reversal, award marks gained and divide by 2 (max 4)                   |  |  |  |  |  |  |  |  |  |
|           | 31-Dec                                                         | Interest on Loan                        |           | 1,500   | 50,000   | Cr | 1         |   | If headed as <b>Current Account</b> , but includes an entry for Equity, do not award Interest on Equity mark       |  |  |  |  |  |  |  |  |  |
|           | 31-Dec                                                         | Drawings                                | 26,000    |         | 24,000   | Cr | 1         |   | If headed as <b>Equity Account</b> and Equity shown as Opening Balance, award marks gained and divide by 2 (max 4) |  |  |  |  |  |  |  |  |  |
|           | 31-Dec                                                         | Interest on Drawings                    | 2,600     |         | 21,400   | Cr | 1         |   | If Loan is included, do not award Interest on Loan mark                                                            |  |  |  |  |  |  |  |  |  |
| (b) (i)   | Profit or Loss on Revaluation                                  |                                         |           |         | £        |    | MAX MARKS | 5 |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           |                                                                | Property - increase in value            |           |         | 35,000   |    | ✓         |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           |                                                                | Inventory - increase in value           |           |         | 3,000    |    | 1         |   | 1 mark for Property and Inventory increase                                                                         |  |  |  |  |  |  |  |  |  |
|           |                                                                | Machinery - decrease in value           |           |         | - 4,500  |    | 1         |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           |                                                                | Provision for Bad Debts - decrease      |           |         | 1,000    |    | 1         |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           |                                                                | Revaluation Expenses                    |           |         | - 1,500  |    | 1         |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           |                                                                | Profit on revaluation                   |           |         | 33,000   |    |           |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           | Share of Profit on Revaluation                                 |                                         |           |         |          |    |           |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           | Deshpande                                                      | 2/3 of £33,000                          | 22,000    | ✓       |          |    |           |   | 1 mark for both share of profit calculations provided no arithmetic error in Profit on Revaluation total           |  |  |  |  |  |  |  |  |  |
|           | Heslop                                                         | 1/3 of £33,000                          | 11,000    | 1       |          |    |           |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
| (b) (ii)  | Profit Sharing Ratio                                           |                                         |           |         |          |    | MAX MARKS | 1 |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           | Morrison                                                       | 25% (leaving 75% for original partners) |           | ✓       |          |    |           |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           | Deshpande                                                      | 2/3 of 75%                              | 50%       | ✓       |          |    |           |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           | Heslop                                                         | 1/3 of 75%                              | 25%       | 1       |          |    |           |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
| (b) (iii) | Equity Account Balances                                        |                                         |           |         |          |    | MAX MARKS | 4 |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           |                                                                |                                         | Deshpande | Heslop  | Morrison |    |           |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           |                                                                | Opening Balance                         | 200,000   | 100,000 | 100,000  |    |           |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           |                                                                | Add Share of Revaluation                | 22,000    | 11,000  | 0        |    | 1         |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           |                                                                | Add Share of Goodwill                   | 15,000    | 7500    | 0        |    | 1         |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           |                                                                | Less Goodwill Written Off               | -11,250   | -5,625  | -5,625   |    | 1         |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           |                                                                | Closing Balance                         | 225,750   | 112,875 | 94,375   |    |           |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           | Opening and closing balances, arithmetic and no extraneous (1) |                                         |           |         |          |    |           |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |
|           | DNA above mark if Current Account balances are included        |                                         |           |         |          |    |           |   |                                                                                                                    |  |  |  |  |  |  |  |  |  |



**2.B (c) Outline 2 advantages to Deshpande and Heslop of admitting Morrison as a new partner.**

**MAX MARK**

**2**

**ADDITIONAL GUIDANCE**

**1 mark per valid point (max 2)**

It will lead to increased equity invested in the business.

The new partner may have expertise in a different area of the business.

The new partner may bring fresh ideas to the partnership.

It will help to spread the workload in the business.

It will help to spread the risk in the business.

|                                        |                 |          |       |          |        |       |          |         |       |          |        |                                                                                                                                       |  |  |  |  |  |  |
|----------------------------------------|-----------------|----------|-------|----------|--------|-------|----------|---------|-------|----------|--------|---------------------------------------------------------------------------------------------------------------------------------------|--|--|--|--|--|--|
| 3. PART A                              |                 |          |       |          |        |       |          |         |       | MAX MARK | 7      | ADDITIONAL GUIDANCE                                                                                                                   |  |  |  |  |  |  |
| INVENTORY RECORD CARD FOR MATERIAL Z ✓ |                 |          |       |          |        |       |          |         |       |          |        | Heading must include 'Inventory Record Card' <u>and</u> the item of inventory (Material Z). The business name is <u>not</u> required. |  |  |  |  |  |  |
|                                        |                 | Receipts |       |          | Issues |       |          | Balance |       |          | ✓      | If any column is not included, award marks gained and divide by 2, (max 4)                                                            |  |  |  |  |  |  |
| Date                                   | Details         | Qty      | Price | Value    | Qty    | Price | Value    | Qty     | Price | Value    | ✓      |                                                                                                                                       |  |  |  |  |  |  |
| 01-Mar                                 | Opening balance |          |       |          |        |       |          | 200     | 10.00 | 2,000.00 | *1     | *1 mark for correct headings and opening balance                                                                                      |  |  |  |  |  |  |
| 05-Mar                                 | Purchases       | 120      | 12.40 | 1,488.00 |        |       |          | 320     | 10.90 | 3,488.00 | 1 line |                                                                                                                                       |  |  |  |  |  |  |
| 10-Mar                                 | Issue           |          |       |          | 120    | 10.90 | 1,308.00 | 200     | 10.90 | 2,180.00 | 1 line |                                                                                                                                       |  |  |  |  |  |  |
| 15-Mar                                 | Returns         |          |       |          | 50     | 12.40 | 620.00   | 150     | 10.40 | 1,560.00 | 1 line |                                                                                                                                       |  |  |  |  |  |  |
| 23-Mar                                 | Purchases       | 250      | 13.60 | 3,400.00 |        |       |          | 400     | 12.40 | 4,960.00 | 1 line |                                                                                                                                       |  |  |  |  |  |  |
| 26-Mar                                 | Issue           |          |       |          | 320    | 12.40 | 3,968.00 | 80      | 12.40 | 992.00   | 1 line |                                                                                                                                       |  |  |  |  |  |  |
| 28-Mar                                 | Purchases       | 100      | 13.75 | 1,375.00 |        |       |          | 180     | 13.15 | 2,367.00 | 1 line |                                                                                                                                       |  |  |  |  |  |  |

|               |                                                                                                                                                     |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
|---------------|-----------------------------------------------------------------------------------------------------------------------------------------------------|-----|-------|-----------|------|-----|-------|--------------|-----|---------|-------|-----------|---|---------------------|---|--|
| 3.B (a) (i)   | PROCESS 2 ACCOUNT FOR CHEMICAL K5R ✓                                                                                                                |     |       |           |      |     |       |              |     |         |       |           | ✓ | MAX MARK            | 8 |  |
|               |                                                                                                                                                     | Dr  |       |           |      | Cr  |       |              |     | Balance |       |           | ✓ | ADDITIONAL GUIDANCE |   |  |
|               |                                                                                                                                                     | QTY | CPU   | £         |      | QTY | CPU   | £            |     | QTY     | CPU   | £         | ✓ |                     |   |  |
|               | Transfer from Process 1                                                                                                                             | 750 | 13.50 | 10,125.00 | 1    |     |       |              |     | 750     | 13.50 | 10,125.00 |   |                     |   |  |
|               | Additional Materials                                                                                                                                | 250 | 14.00 | 3,500.00  | 1    |     |       |              |     | 1000    |       | 13,625.00 |   |                     |   |  |
|               | Labour                                                                                                                                              |     |       | 5,500.00  | 2*   |     |       |              |     |         |       | 19,125.00 |   |                     |   |  |
|               | Fixed Overheads                                                                                                                                     |     |       | 2,875.00  |      |     |       |              |     |         |       | 22,000.00 |   |                     |   |  |
|               | Variable Overheads                                                                                                                                  |     |       | 2,500.00  |      |     |       |              |     |         |       | 24,500.00 |   |                     |   |  |
|               | Normal Loss                                                                                                                                         |     |       |           |      | 50  | 4.00  | 200.00       | 1   | 950     |       | 24,300.00 |   |                     |   |  |
|               | Closing Work-in Progress                                                                                                                            |     |       |           |      | 200 |       | 1,800.00     | 1   | 750     | 30.00 | 22,500.00 |   |                     |   |  |
|               | Transfer to Finished Output                                                                                                                         |     |       |           |      | 705 | 30.00 | ** 21,150.00 | 2** | 45      | 30.00 | 1,350.00  |   |                     |   |  |
|               | Abnormal Loss                                                                                                                                       |     |       |           |      | 45  | 30.00 | ** 1,350.00  | *** | 0       |       | 0.00      |   |                     |   |  |
|               | If complete reversal, award half marks                                                                                                              |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
|               | Accept Input and Output as alternative to Dr and Cr                                                                                                 |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
|               | If any data is entered in Dr Qty column other than transfer from previous process and materials, do not award mark                                  |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
|               | * Award 2 marks for 3 correct and one mark for 2 correct                                                                                            |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
|               | ** If CPU is calculated correctly and applied to both Finished Goods and Abnormal Loss award (2) but if Balance arithmetically incorrect, award (1) |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
|               |                                                                                                                                                     |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
|               |                                                                                                                                                     |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
| 3. B (a) (ii) | ABNORMAL LOSS ACCOUNT ✓                                                                                                                             |     |       |           |      |     |       |              |     |         |       |           |   | MAX MARK            | 4 |  |
|               |                                                                                                                                                     | Dr  |       |           |      | Cr  |       |              |     | Balance |       |           | ✓ |                     |   |  |
|               |                                                                                                                                                     | QTY | CPU   | £         |      | QTY | CPU   | £            |     | QTY     | CPU   | £         | ✓ |                     |   |  |
|               | From Process 2                                                                                                                                      | 45  | 30.00 | 1,350.00  | 1*** |     |       |              |     | 45      | 30.00 | 1,350.00  |   |                     |   |  |
|               | Cash & Cash Equivalents                                                                                                                             |     |       |           |      | 45  | 4.00  | 180.00       | 1   |         |       | 1,170.00  |   |                     |   |  |
|               | Income Statement                                                                                                                                    |     |       |           |      |     |       | 1,170.00     | 1   |         |       | 0.00      |   |                     |   |  |
|               | Account Names, Headings and Running Balance across both accounts (1)                                                                                |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
|               | If nomenclature error, do not award mark on first occasion                                                                                          |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
|               | *** consequential on abnormal loss calculated in process 2 account                                                                                  |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
|               |                                                                                                                                                     |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
| 3. (b)        | Outline one possible cause of an abnormal loss.                                                                                                     |     |       |           |      |     |       |              |     |         |       |           |   | MAX MARK            | 1 |  |
|               | The use of faulty/outdated machinery.                                                                                                               |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
|               | The use of faulty materials.                                                                                                                        |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
|               | Unskilled or untrained staff in production process.                                                                                                 |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |
|               | DNA theft                                                                                                                                           |     |       |           |      |     |       |              |     |         |       |           |   |                     |   |  |

|                                                                                                                                |                                                                                                        |                      |       |                                                                                                                                                                   |                     |          |   |                        |  |  |
|--------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|----------------------|-------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|----------|---|------------------------|--|--|
| 4. (a) (i)                                                                                                                     |                                                                                                        |                      |       |                                                                                                                                                                   |                     | MAX MARK | 2 |                        |  |  |
|                                                                                                                                |                                                                                                        | ARGYLL PLC           |       |                                                                                                                                                                   | ATHOLL PLC          |          |   |                        |  |  |
|                                                                                                                                | Equity Gearing Ratio                                                                                   | (£300,000+£100,000)  |       |                                                                                                                                                                   | (£250,000+£150,000) |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        | £800,000             |       |                                                                                                                                                                   | £600,000            |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        |                      |       |                                                                                                                                                                   |                     |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        | £400,000             |       |                                                                                                                                                                   | £400,000            |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        | £800,000             |       |                                                                                                                                                                   | £600,000            |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        | 0.5 :1               | 1     |                                                                                                                                                                   | 0.67 :1             | 1        |   | Ratio must be shown :1 |  |  |
| (a) (ii)                                                                                                                       | Atholl plc (1) will give the best return in times of high profit as it has a higher gearing ratio. (1) |                      |       |                                                                                                                                                                   |                     | MAX MARK | 2 |                        |  |  |
| (b) (i)                                                                                                                        | Argyll plc                                                                                             | £                    |       |                                                                                                                                                                   |                     | MAX MARK | 2 |                        |  |  |
|                                                                                                                                | Profit for the Year before Tax and Finance Cost                                                        | 650,000              |       |                                                                                                                                                                   |                     |          |   |                        |  |  |
|                                                                                                                                | Less Debenture Finance Cost (100,000 x 8%)                                                             | 8,000                | 1     | If Debenture Finance Cost and Corporation Tax dealt with in the incorrect order, award 1 mark for Debenture Finance Cost if shown as £8,000 and treated correctly |                     |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        | 642,000              |       |                                                                                                                                                                   |                     |          |   |                        |  |  |
|                                                                                                                                | Less Corporation Tax (642,000 x 25%)                                                                   | 160,500              | ✓     | If Debenture Finance Cost is omitted, award Corporation Tax 1 mark consequentially if treated correctly                                                           |                     |          |   |                        |  |  |
|                                                                                                                                | Profit for the Year after Tax and Finance Cost                                                         | 481,500              | 1     |                                                                                                                                                                   |                     |          |   |                        |  |  |
| (b) (ii)                                                                                                                       | Less Preference Dividend (300,000 x 6%)                                                                | 18,000               | 1     |                                                                                                                                                                   |                     | MAX MARK | 2 |                        |  |  |
|                                                                                                                                | Profit available for Ordinary Shareholders                                                             | 463,500              |       |                                                                                                                                                                   |                     |          |   |                        |  |  |
|                                                                                                                                | Less Retained Profit (463,500 x 60%)                                                                   | 278,100              | ✓     |                                                                                                                                                                   |                     |          |   |                        |  |  |
|                                                                                                                                | Dividend available for Ordinary Shareholders                                                           | 185,400              | 1     |                                                                                                                                                                   |                     |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        |                      |       |                                                                                                                                                                   |                     |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        | Argyll plc           |       |                                                                                                                                                                   |                     | MAX MARK | 2 |                        |  |  |
| (c) (i)                                                                                                                        | Ordinary Dividend per share                                                                            | £185,400             |       |                                                                                                                                                                   |                     |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        | 800,000              | 1     |                                                                                                                                                                   |                     |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        | £0.23                | 1     |                                                                                                                                                                   |                     |          |   |                        |  |  |
| (c) (ii)                                                                                                                       | Dividend Yield                                                                                         | £0.23                | x 100 | 1                                                                                                                                                                 |                     | MAX MARK | 2 |                        |  |  |
|                                                                                                                                |                                                                                                        | £1.35                |       |                                                                                                                                                                   |                     |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        | 17.04%               | 1     | Accept 17.17%                                                                                                                                                     |                     |          |   |                        |  |  |
| (c) (iii)                                                                                                                      | Dividend Cover                                                                                         | (£481,500 - £18,000) |       |                                                                                                                                                                   |                     | MAX MARK | 2 |                        |  |  |
|                                                                                                                                |                                                                                                        | £185,400             | 1     |                                                                                                                                                                   |                     |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        | 2.5 times            | 1     |                                                                                                                                                                   |                     |          |   |                        |  |  |
| (c) (iv)                                                                                                                       | Earnings per share                                                                                     | (£481,500 - £18,000) |       |                                                                                                                                                                   |                     | MAX MARK | 2 |                        |  |  |
|                                                                                                                                |                                                                                                        | 800,000              | 1     |                                                                                                                                                                   |                     |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        | £0.58                | 1     |                                                                                                                                                                   |                     |          |   |                        |  |  |
| (c) (v)                                                                                                                        | Price Earnings Ratio                                                                                   | £1.35                |       |                                                                                                                                                                   |                     | MAX MARK | 2 |                        |  |  |
|                                                                                                                                |                                                                                                        | £0.58                | 1     |                                                                                                                                                                   |                     |          |   |                        |  |  |
|                                                                                                                                |                                                                                                        | 2.33 times           | 1     |                                                                                                                                                                   |                     |          |   |                        |  |  |
| Candidates must use £, % or times appropriately in order to gain second mark. If omitted or incorrect, DNA 2nd mark each time. |                                                                                                        |                      |       |                                                                                                                                                                   |                     |          |   |                        |  |  |

**4. (d) Describe 2 limitations of Ratio Analysis**

It is difficult to find competitors of the exact same type and size to make valid comparisons.  
The information is historical, so is not relevant to the current or future position.  
Ratios do not take into account external factors.

**MAX MARK**

**2**

**ADDITIONAL GUIDANCE**

**1 mark per valid point (max 2)**

**[END OF MARKING INSTRUCTIONS]**